



# IS 4108- IS Strategies

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LECTURE 06- EXPLOITING IS FOR STRATEGIC ADVANTAGE

# Exploiting IS?

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Using information systems to gain, sustain, or enhance competitive advantage.

# Quiz

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**Apply concepts of strategic use of Information Systems to analyze real companies and propose innovative ideas.**

Healthcare, Finance, Entertainment, Agriculture, Food & Beverages, Travel, Hospitality and Tourism, Manufacturing, Logistics, Retail and Supermarkets, E- Commerce, Fashion Design, Software Industry, Education, Defense and Security, Telecommunications

- Select one company from a given industry and critically analyze how it utilizes Information Systems (IS) to achieve a competitive advantage.
- Your analysis should clearly explain how IS supports the company's strategy (e.g., cost leadership, differentiation, or customer focus).
- Then, propose innovative ideas or improvements to enhance the company's existing processes, services, or customer experience using Information Systems.

# Exploiting IS for Strategic Advantage

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Exploiting Information Systems means **using IT and systems in innovative and strategic ways to gain competitive advantage.**

This is not just using systems, but using them to;

- Compete
- Differentiate
- Transform business

# Exploiting IS for Strategic Advantage

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A strategic advantage is a position that allows a company to **outperform competitors consistently.**



### Cost advantage



### Differentiation advantage



### Focus advantage



### Speed advantage



### Innovation advantage



### Geographic advantage



### Customer service advantage



- Lower cost
- Better customer experience
- Unique services
- Faster operations
- Innovation
- 24x7 services and covering all geographical locations



# Cost Leadership

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- Cost leadership is a **business strategy** in which a company aims to be the lowest-cost producer, focusing on achieving cost advantages over competitors.
- This strategy emphasizes lowering manufacturing and operational costs through lean processes and creative cost-cutting strategies.
- Lowering expenses enables the company to offer its products or services at a competitive price, appealing to a broad customer base.

# IS to Achieve Cost Leadership

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- By embracing automation, artificial intelligence, and digital transformation, companies can significantly enhance operational efficiency, reduce production costs, and improve the quality of their products or services.
- Technology enables businesses to optimize their supply chain, forecast demand more accurately, and manage inventory costs effectively, leading to substantial cost savings.

## Ex: Amazon

- leveraged robotics, data analytics, and sophisticated supply chain systems to reduce operational costs

# Better Customer Service

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All possible through IS

# Better Customer Service through IS

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- Customer Relationship Management (CRM) Systems
- AI-Powered Chatbots & Virtual Agents
- Predictive Analytics & Data Mining
- Intelligent Workflow Automation

# Differentiation Leadership

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- Instead of offering the same things as others, they aim to provide something special, something that makes their products or services different and unique.
- It involves concentrating efforts on a small group of consumers with unique needs, striving to provide more innovative, superior, or valuable offerings than competitors.



# How does the Differentiation Leadership is Achieved?

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- Market Segmentation
- Market Research
- Know Your Strengths
- Identify Unique Value Proposition
- Product Development
- Tailored Marketing
- Personalized Customer Experience
- Communicate Social Media
- Create a Memorable Brand Image
- Build Relationships
- Continuous Improvement
- Monitor Competitors
- Measure Success
- Feedback Loop

All possible through IS